

This licence can potentially be unsuitable for some businesses. For example, if you are operating in a competitive environment where you want to keep your code proprietary, the use of this licence may not be in line with the business objectives of your firm. However, sometimes it is fine to use such licences, when your business is not based on selling the product—when your real value-add comes from the services that you give to support the product, facilitate its installation, or effect changes to the code. That's a legitimate business too. Most open source companies practice this model. SugarCRM is a good example. There are companies that have built a whole business around supporting SugarCRM.

So, there is no question of what is good or bad when it comes to licences. The choice depends entirely on the kind of requirements a business has.

Q You have once said that, "The Open Source Initiative (OSI) has an approved list of nearly 70 open source licences. However, Protecode has catalogued more than 3000 variations of these licences." How come there are so many licences and versions of open source licences? Could you explain this statement of yours?

As regards open source licences, there is a formal open source organisation called the Open Source Initiative (OSI), which has a formal definition of what constitutes an open source licence. Based on this definition, it has recognised certain licences as legitimate open source licences. OSI has an approved list of nearly 70 open source licences. However, Protecode has catalogued more than 3000 variations of these licences. People have created these versions in order to suit the specific requirements of their open source projects. However, when you look at the actual usage, there are mainly 6 to 10 licences that cover 90-95 per cent of open source software.

People who work on software development projects, and who usually adopt open source licences, modify and change these. This creates a proliferation of different licences, which in turn becomes more and more complex, requiring one to take legal advice to understand the implications of the changes, and so on. So, as much as possible, I would recommend that development teams adopt one of the OSI-approved licences.

Q Does any open source licence put restrictions on making money from products based on open source software?

There is a misconception that using open source to build your products can curtail your chances of making money from them. This is absolutely untrue. There is absolutely no restriction imposed by any of the OSI-approved open source licences regarding what to charge for your software. You can choose to charge, and people can choose to pay or not to pay for your product, whether you are using open source or not.

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As I mentioned, based on the open source licences governing the software product, there will be certain licensing obligations—but none of them are monetary. The obligations are generally very mundane. For example, in some cases you may be required to just cite the licence you are using. In addition, you may have to display the licence, if your product has a user interface. For example, in your smartphone, you would find a tab where all the software and their corresponding licences are listed.

However, restrictive licences, depending on how you are using them, will require you to open the source code of your software, as in the case of GPL or GPLv3. With one particular version of GPL, if you are using software governed by it in a central environment such as on a server, even if you are not distributing the code, you still have to make the application or the server open.

One of the things that I have observed is that the licensing terms are difficult to understand for developers, or even their managers. Hence, it is always best to have access to a licensing expert or IP lawyer. While these days we have solutions that do indicate the licensing obligations associated with software, and generate an action-item report to be considered by the project team, this is not meant to replace legal experts.

Q With the existence of so many versions of open source licences, doesn't it make the whole process of tracking the obligations related to these versions an unmanageable task? How can one discover licence violations?

I will give you an example to illustrate the level of complexity that is inherent in any software product development cycle. Consider that you have to create a presentation. To do so, you may refer to your previous presentations. You may have a folder of your favourite icons, you may go to the Web, from where you may find a piece of useful text and a picture, and you add your own creativity around it. Once you have added various elements and finished making the presentation, if somebody asks you what's yours and what's not, you may not know, as you have not been keeping track of the origin of each element incorporated into your presentation.

Similarly, when it comes to software development, it is absolutely not possible to keep a track of the licences and related obligations manually, as in almost any software development environment, there is more than one person involved. Even when one person is developing a project, this task is difficult to accomplish.

However, this doesn't mean that you shouldn't leverage open source software code. The best developers in the world don't write code from scratch—that is just so very inefficient. There is